MAHATMAGANDHI UNIVERSITY,KOTTAYAM

THIRD SEMESTER MG-UGP (HONOURS) REGULAR EXAMINATION-----2025

MG3DSCECO200- MICRO ECONOMICS – I

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

***Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E), Create (C), Skil(S), Interest (I) and Appreciation (Ap)**

Students should attempt atleast one question from each course outcome to enhance their overall outcome attainability

Part A

Multiple Choice Questions

Answer all questions

Each question carries 1 mark

1. The locus of Pareto optimality in production and consumption is given by [U][3]
   a) Social welfare function
   b) Transformation curve
   c) Grand utility possibility frontier
   d) Utility possibility frontier
2. Non price Competition is a feature of [K][2]
   a) Perfect competition
   b) Pure competition
   c) Monopoly
   d) All the above
3. Selling Cost [U][4]
   a) Pure competition
   b) Perfect competition
   c) Monopolistic competition
   d) None of these
4. Grant utility possibility frontier is [U][1]
   a) Positive curve
   b) An Envelop curve
   c) A scale curve
   d) A straight line
5. The shape of TFC [K][2]

a) Horizontal straight line parallel to X axis
b) Vertical straight line parallel to Y axis
c) Upward sloping
d) Downward sloping

6. ----- is known as envelop curve [K][2]
   a) LRAC
   b) SRAC
   c) LRMC
   d) SRMC
7. Cost of daily workers is part of [K][2]
   a) Fixed cost
   b) Variable cost
   c) Sunk cost
   d) Opportunity cost
8. Which among the following is incorrect [U][1]
   a) IC is convex to the origin
   b) Higher IC represent higher level of satisfaction
   c) IC intersects each other
   d) IC need not be parallel
9. When TP is maximum MP is [An][2]
   a) Negative
   b) Zero
   c) One
   d) None of these
10. Choice reveals preference was propounded by [U][1]
    a) Marshall
    b) Hick
    c) Sweezy
    d) Samuelson **(10x1=10 Marks)**

Part B

Short Answer Questions (50 words)

Answer any 10 questions

Each question carries 3 marks

60 words

11. Define MRS [K][1]
12. Define ICC [K][1]

13. Explain the Pragmatic approach in Consumer behavior [U][1]
14. Define Ridgeline [U][2]
15. Explain Expansion path [U][2]
16. Explain what is strong ordering [U[1]
17. Define Engels Curve [An]2]
18. Define Isoquant [K][2]
19. What is shutdown point [An] [2]
20. Define Monopsony [K][3]
21. What is Bilateral Monopoly [U][3]
22. What is Pareto Optimality Criterion [U][4]
23. Define MRTS [K][2]
24. Explain Producer Equilibrium [E][2]
25. Define Price leadership [An][4]

(10x3= 30 Marks)

Part C

Short Essay Questions (160 words)

Answer any 5 questions

Each question carries 6 marks

26. When the price of good X is Rs 3 per unit the consumer buys 10 units of it or he buys 5 units of good Y when its price is 6 per units. If the price of good Y falls to Rs 2 per unit, analyze the impact of change in the Budget line using Suitable diagram [A][1]
27. Explain the short run equilibrium under monopolistic competition. [E][4]
28. Distinguish between income effect and substitution effect with suitable diagram [S][1]
29. Explain consumer equilibrium using Indifference approach [An][1]
30. What are the major limitations of Indifference curve analysis [U][1]
31. Explain the demand theorem using revealed preference in the case of a rise in the price of the commodity [An][1]
32. Explain the Kinked demand curve model of Oligopoly [E]4]
33. Illustrate the behavior of TFC, TVC, and TC [U][2]
34. Explain the modern theory of Long-run cost [U][2]
35. List out the features of Perfect competition [K][3]

(5x6= 30 Marks)